

Sunonwealth Electric Machine Industry (2421 TT)

 Target price: **TWD236.00** (from TWD205.00)

 Share price (27 Aug): **TWD159.50** | Up/downside: **+48.0%**

5 4 3 2 1


Buy
 (unchanged)

Stronger-than-expected earnings visibility

- Rising liquid cooling contribution in 2027 from a low base in 2026
- Likely EPS upward revision trend in the near term
- Reaffirming our Buy (1) call; raising 12M TP to TWD236

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What's new: Following our update with Sunon's management on 28 August, we reaffirm our Buy (1) call, as we expect its 2026 outlook for telecom, server, industrial and auto segments to remain intact, with both gross and operating margin set to expand. We now forecast its net profit CAGR at 21.2% for 2026-28E, up from 17.2% previously (see [previous flash](#) on 7 August).

What's the impact: Rising liquid cooling revenue exposure in 2027. We expect its cold plate products (ie, enterprise and GPU clients) to contribute revenue from 4Q26 (low single % revenue contribution) and to be in the process of certification for CSP clients. Sunon also offers other liquid cooling products, such as CDUs.

From fan to air-cooling module, with fan spec upgrade trend and new applications. Sunon plans to deliver fan modules in the server segment to ODM and enterprise clients by the end of 2026, extending its more integrated product solutions. We believe AI server demand will further support spec upgrade in its fan products. We are also positive on the development of Sunon's EC fans (ie, for infrastructure) for the industrial segment, as well as its air-cooling solutions for power racks.

Upward EPS revision trend likely, with intact near-term revenue and earnings outlook. We expect 3Q26 revenue, supported by record-high monthly revenue in July 2026, and similar levels in August and September to grow by 16.6% QoQ (vs. Bloomberg consensus of 10.3% QoQ) and 4Q26 revenue to increase by 1.7% QoQ (vs. Bloomberg consensus of flat QoQ). Furthermore, we forecast its gross margin of 32.5% in 2H26 vs. the Bloomberg consensus of 31.9%. We revise our 2026-28E EPS by 6-14%, mainly on higher revenue, gross- and operating-margin assumptions.

What we recommend: We reaffirm our Buy (1) call and raise our 12M TP to TWD236 (from TWD205), based on a target PER of 18x (from 17x vs. its past-5-year PER range of 6-25x), applied to our 1-year forward EPS forecast. We use a higher target multiple to reflect stronger earnings visibility amid intact demand from the server, telecom, industrial and auto segments. Downside risks: weaker-than-expected gross-margin expansion and slower AI server development progress.

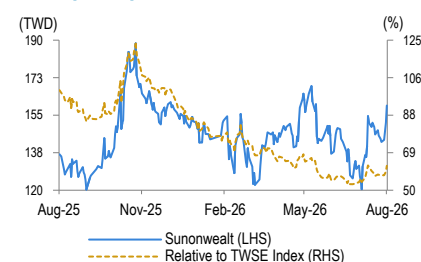
How we differ: We are one of only two overseas brokers covering the stock. Our 2026-28E EPS is 6-13% above than the Bloomberg consensus, due to our more aggressive revenue, and gross-/operating-margin estimates.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	2.2	6.2	6.2
Net profit change	5.8	13.6	13.2
Core EPS (FD) change	5.7	13.6	13.2

Source: Daiwa forecasts

Share price performance



12-month range	120.35-188.48
Market cap (USDbn)	1.38
3m avg daily turnover (USDm)	15.49
Shares outstanding (m)	273
Major shareholder	Hung family (33.0%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	23,186	27,364	31,278
Operating profit (m)	3,803	4,843	5,661
Net profit (m)	3,136	3,975	4,608
Core EPS (fully-diluted)	11.041	13.881	16.092
EPS change (%)	39.3	25.7	15.9
Daiwa vs Cons. EPS (%)	5.6	12.2	12.8
PER (x)	14.4	11.5	9.9
Dividend yield (%)	4.8	6.1	7.1
DPS	7.7	9.7	11.3
PBR (x)	4.3	3.7	3.2
EV/EBITDA (x)	9.7	7.5	6.3
ROE (%)	32.4	35.0	34.9

Source: FactSet, Daiwa forecasts

Sunon: revenue and earnings forecast revisions

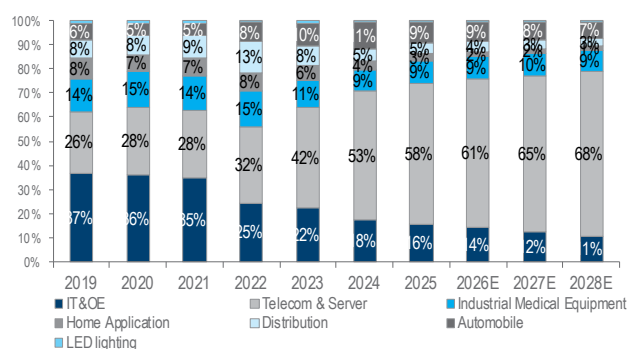
(TWDm)	2026E			2027E			2028E		
	New	Previous	Change	New	Previous	Change	New	Previous	Change
Sales	23,186	22,678	2.2%	27,364	25,773	6.2%	31,278	29,453	6.2%
Gross profit	7,420	7,211	2.9%	9,030	8,325	8.5%	10,384	9,572	8.5%
Gross margin	32.0%	31.8%	0.2pp	33.0%	32.3%	0.7pp	33.2%	32.5%	0.7pp
Operating profit	3,803	3,628	4.8%	4,843	4,330	11.9%	5,661	5,066	11.8%
Operating margin	16.4%	16.0%	0.4pp	17.7%	16.8%	0.9pp	18.1%	17.2%	0.9pp
Net profit	3,136	2,965	5.8%	3,975	3,500	13.6%	4,608	4,069	13.2%
Net margin	13.5%	13.1%	0.4pp	14.5%	13.6%	0.9pp	14.7%	13.8%	0.9pp
Fully diluted EPS (TWD)	11.04	10.45	5.7%	13.88	12.22	13.6%	16.09	14.21	13.2%

Source: Daiwa forecasts

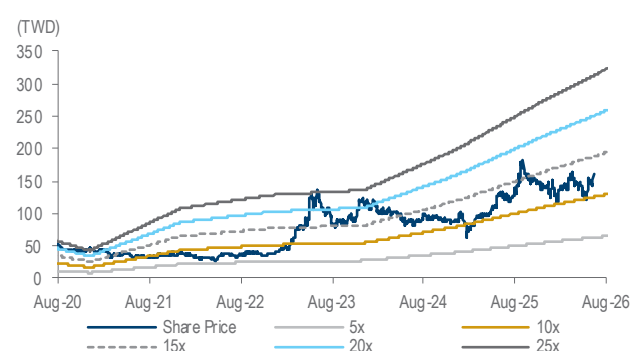
Sunon: quarterly and annual P&L

(TWDm)	2026E				2027E				2026E	2027E	2028E
	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E			
Revenue	5,019	5,419	6,319	6,429	6,500	6,600	6,800	7,464	23,186	27,364	31,278
Gross profit	1,589	1,693	2,041	2,096	2,126	2,165	2,244	2,496	7,420	9,030	10,384
Operating profit	788	836	1,141	1,037	1,126	1,125	1,224	1,369	3,803	4,843	5,661
Pre-tax profit	805	912	1,218	1,114	1,198	1,197	1,296	1,442	4,050	5,133	5,951
Net profit	649	690	950	846	970	910	1,011	1,083	3,136	3,975	4,608
Basic EPS (TWD)	2.36	2.42	3.33	2.97	3.40	3.19	3.55	3.80	11.08	13.94	16.16
Margin											
Gross margin	31.7%	31.3%	32.3%	32.6%	32.7%	32.8%	33.0%	33.4%	32.0%	33.0%	33.2%
Operating margin	15.7%	15.4%	18.1%	16.1%	17.3%	17.0%	18.0%	18.3%	16.4%	17.7%	18.1%
Pre-tax margin	16.0%	16.8%	19.3%	17.3%	18.4%	18.1%	19.1%	19.3%	17.5%	18.8%	19.0%
Net margin	12.9%	12.7%	15.0%	13.2%	14.9%	13.8%	14.9%	14.5%	13.5%	14.5%	14.7%
YoY											
Revenue	20.6%	16.2%	28.1%	30.7%	29.5%	21.8%	7.6%	16.1%	24.1%	18.0%	14.3%
Gross profit	30.5%	18.9%	32.0%	29.9%	33.7%	27.8%	9.9%	19.1%	27.9%	21.7%	15.0%
Operating profit	52.9%	16.9%	48.5%	28.0%	42.8%	34.5%	7.3%	32.0%	35.4%	27.4%	16.9%
Pre-tax profit	38.7%	76.5%	35.6%	39.0%	48.9%	31.2%	6.4%	29.4%	44.8%	26.8%	15.9%
Net profit	37.5%	84.5%	36.9%	35.4%	49.5%	31.9%	6.4%	28.0%	44.8%	26.8%	15.9%
QoQ											
Revenue	2.1%	8.0%	16.6%	1.7%	1.1%	1.5%	3.0%	9.8%			
Gross profit	-1.5%	6.5%	20.5%	2.7%	1.4%	1.8%	3.7%	11.2%			
Operating profit	-2.7%	6.1%	36.5%	-9.1%	8.5%	-0.1%	8.8%	11.9%			
Pre-tax profit	0.4%	13.4%	33.5%	-8.6%	7.5%	-0.1%	8.3%	11.2%			
Net profit	3.8%	6.3%	37.7%	-10.9%	14.7%	-6.2%	11.1%	7.1%			

Source: Company, Daiwa forecasts

Sunon: product mix


Source: Company, Daiwa forecasts

Sunon: 1-year forward PER


Source: Bloomberg, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Automotive revenue YoY growth (%)	6.1	59.5	9.1	31.1	2.8	20.0	10.0	5.0
IT&OE revenue YoY growth (%)	2.3	(26.8)	(16.8)	(10.7)	13.8	15.0	0.0	0.0
Telecom & server revenue YoY growth (%)	6.5	16.2	21.4	43.5	40.4	30.0	25.0	20.0

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Telecom & Server revenue	3,838	4,458	5,411	7,765	10,901	14,172	17,714	21,257
Industrial & Medical equipment & Automobile revenue	2,645	3,178	2,686	2,910	3,400	4,167	4,802	5,173
Other Revenue	7,079	6,427	4,817	3,948	4,377	4,848	4,848	4,848
Total Revenue	13,562	14,063	12,915	14,624	18,678	23,186	27,364	31,278
Other income	0	0	0	0	0	0	0	0
COGS	(11,026)	(10,892)	(9,313)	(10,467)	(12,876)	(15,767)	(18,334)	(20,894)
SG&A	(1,258)	(1,268)	(1,272)	(1,587)	(1,910)	(2,272)	(2,627)	(2,971)
Other op.expenses	(814)	(781)	(799)	(893)	(1,082)	(1,345)	(1,560)	(1,752)
Operating profit	464	1,122	1,530	1,677	2,809	3,803	4,843	5,661
Net-interest inc./(exp.)	(14)	(30)	49	95	71	97	90	90
Assoc/forex/extraord./others	136	334	172	210	(83)	150	200	200
Pre-tax profit	585	1,426	1,752	1,982	2,797	4,050	5,133	5,951
Tax	(156)	(337)	(418)	(490)	(631)	(914)	(1,159)	(1,343)
Min. int./pref. div./others	0	0	0	0	0	0	0	0
Net profit (reported)	429	1,089	1,334	1,492	2,165	3,136	3,975	4,608
Net profit (adjusted)	429	1,089	1,334	1,492	2,165	3,136	3,975	4,608
EPS (reported)(TWD)	1.711	4.340	5.163	5.457	7.937	11.083	13.938	16.159
EPS (adjusted)(TWD)	1.711	4.340	5.163	5.457	7.937	11.083	13.938	16.159
EPS (adjusted fully-diluted)(TWD)	1.711	4.327	5.074	5.448	7.924	11.041	13.881	16.092
DPS (TWD)	1.200	2.600	3.500	3.687	5.442	7.680	9.734	11.285
EBIT	464	1,122	1,530	1,677	2,809	3,803	4,843	5,661
EBITDA	981	1,635	2,065	2,171	3,359	4,143	5,261	6,140

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	585	1,426	1,752	1,982	2,797	4,050	5,133	5,951
Depreciation and amortisation	517	513	534	495	550	341	417	478
Tax paid	(156)	(337)	(418)	(490)	(631)	(914)	(1,159)	(1,343)
Change in working capital	(874)	292	387	(465)	(254)	(945)	(587)	(816)
Other operational CF items	118	264	(81)	160	836	(92)	(90)	(90)
Cash flow from operations	191	2,158	2,175	1,682	3,297	2,439	3,715	4,180
Capex	(444)	(394)	(298)	(513)	(953)	(1,500)	(1,000)	(1,000)
Net (acquisitions)/disposals	178	0	(14)	(2)	(29)	(29)	(29)	(29)
Other investing CF items	(215)	(44)	(43)	(229)	(132)	0	0	0
Cash flow from investing	(480)	(438)	(354)	(745)	(1,114)	(1,529)	(1,029)	(1,029)
Change in debt	1,279	(662)	(830)	470	(458)	117	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(602)	(301)	(652)	(957)	(1,012)	(1,499)	(2,173)	(2,754)
Other financing CF items	(91)	(226)	1,274	77	(49)	0	0	0
Cash flow from financing	585	(1,189)	(208)	(410)	(1,519)	(1,382)	(2,173)	(2,754)
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	296	531	1,612	527	664	(473)	512	397
Free cash flow	(253)	1,764	1,877	1,169	2,344	939	2,715	3,180

Source: FactSet, Daiwa forecasts

Financial summary continued ...

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	1,912	2,457	4,031	4,678	5,256	4,834	5,469	5,989
Inventory	2,763	2,863	2,052	2,181	2,424	3,127	3,544	4,091
Accounts receivable	3,546	3,555	3,180	4,247	5,413	6,491	7,652	8,752
Other current assets	169	150	313	332	100	100	100	100
Total current assets	8,391	9,026	9,576	11,438	13,193	14,552	16,765	18,931
Fixed assets	2,059	2,273	2,171	2,461	3,054	4,213	4,796	5,318
Goodwill & intangibles	24	27	24	53	63	63	63	63
Other non-current assets	1,043	866	843	1,046	1,117	1,117	1,117	1,117
Total assets	11,517	12,192	12,615	14,998	17,427	19,945	22,741	25,429
Short-term debt	1,985	1,408	640	1,050	586	703	703	703
Accounts payable	3,986	4,530	3,846	4,759	6,174	7,010	8,001	8,831
Other current liabilities	268	385	235	273	429	429	429	429
Total current liabilities	6,239	6,323	4,721	6,082	7,189	8,141	9,132	9,962
Long-term debt	524	287	213	478	613	613	613	613
Other non-current liabilities	387	380	462	517	738	738	738	738
Total liabilities	7,151	6,989	5,396	7,078	8,539	9,492	10,483	11,313
Share capital	2,509	2,509	2,734	2,734	2,734	2,829	2,829	2,829
Reserves/R.E./others	1,857	2,693	4,484	5,186	6,153	7,623	9,429	11,286
Shareholders' equity	4,367	5,202	7,219	7,920	8,887	10,453	12,258	14,116
Minority interests	0	0	0	0	0	0	0	0
Total equity & liabilities	11,517	12,192	12,615	14,998	17,427	19,945	22,741	25,429
EV	44,211	42,852	40,437	40,464	39,556	40,096	39,460	38,941
Net debt/(cash)	597	(763)	(3,178)	(3,150)	(4,058)	(3,519)	(4,154)	(4,673)
BVPS (TWD)	17.402	20.733	26.399	28.859	32.265	36.942	43.323	49.888

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	6.1	3.7	(8.2)	13.2	27.7	24.1	18.0	14.3
EBITDA (YoY)	(37.3)	66.6	26.3	5.2	54.7	23.3	27.0	16.7
Operating profit (YoY)	(58.4)	142.0	36.4	9.6	67.5	35.4	27.4	16.9
Net profit (YoY)	(49.6)	153.7	22.5	11.9	45.1	44.8	26.8	15.9
Core EPS (fully-diluted) (YoY)	(49.6)	153.0	17.3	7.4	45.5	39.3	25.7	15.9
Gross-profit margin	18.7	22.5	27.9	28.4	31.1	32.0	33.0	33.2
EBITDA margin	7.2	11.6	16.0	14.8	18.0	17.9	19.2	19.6
Operating-profit margin	3.4	8.0	11.8	11.5	15.0	16.4	17.7	18.1
Net profit margin	3.2	7.7	10.3	10.2	11.6	13.5	14.5	14.7
ROAE	9.6	22.8	21.5	19.7	25.8	32.4	35.0	34.9
ROAA	3.9	9.2	10.8	10.8	13.4	16.8	18.6	19.1
ROCE	7.3	16.3	20.4	19.1	28.8	34.8	38.2	39.0
ROIC	7.4	18.2	27.5	28.7	45.3	50.1	49.9	50.0
Net debt to equity	13.7	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	26.7	23.6	23.8	24.7	22.6	22.6	22.6	22.6
Accounts receivable (days)	92.9	92.1	95.2	92.7	94.4	93.7	94.3	95.7
Current ratio (x)	1.3	1.4	2.0	1.9	1.8	1.8	1.8	1.9
Net interest cover (x)	32.6	37.6	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	70.1	59.9	67.8	67.6	68.6	69.3	69.8	69.8
Free cash flow yield	n.a.	4.0	4.3	2.7	5.4	2.2	6.2	7.3

Source: FactSet, Daiwa forecasts

Company profile

Founded in 1980 and listed on Taiwan's main board in 2000, Sunonwealth Electric Machine Industry (Sunon) is one of the top-4 fan and motor providers in the world, along with Delta Electronics, Nidec and ebm-papst. Its major clients are Apple, Dell, Lenovo, Bosch, Siemens and Tesla. Its applications include IT & OE, telecoms & servers, industrial & medical equipment, home applications, distribution, autos and LED lighting.

ESG analysis

ESG risks

Risks	Management	Analyst comments	
G	Executive/board quality	2	The CEO and chairperson of Sunonwealth are the same individual; Sunonwealth's board is led by the Hung family. We see no issues with the company's board. We view the chairman leading the R&D team as a sign of the company's continuing focus on developing new products to achieve a long-term competitive advantage.
	Capital management	2	Sunonwealth's dividend payout ratio was 83-88% in 2015-18, but it decreased to 60-69% during 2022-25 due to its capacity expansion plans.
	Related party & transaction	2	Revenue generated from related-party transactions was less than 1% of total revenue during 2023-25.
E	Materials sourcing & efficiency	1	Sunonwealth's sourcing of raw materials has been relatively stable (including IC, copper, plastic, aluminium and steel), and we also note that Sunonwealth abides by RoHS regulations and relevant international standards (ISO14001, IECQ QC080000, ISO9001) for its material sourcing activities. With the ongoing ESG trend, its clients may move towards a more energy-efficient production cycle, which will likely benefit Sunonwealth's energy-efficient products.
E	Product design & lifecycle management	2	Sunonwealth has improved its product designs to stronger but lighter form factors. Besides, we have observed more green projects utilising Sunonwealth's capabilities. Thus, we believe Sunonwealth has strong product design and lifecycle management capabilities to address the ongoing changing business environment.
S	Product quality & safety	2	Sunonwealth has its own Quality Strategy Centre to evaluate quality issues. With international standards in place, we believe Sunonwealth has taken relevant measures to address product quality and safety issues.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 8 May 2026

Source: Daiwa, Company

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Disclosure of investment ratings

Rating	Percentage of total
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Hold**	20.53%
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Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 June 2026.

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